



Company Registration Number-PV/PB 13254 PQ

INTERIM FINANCIAL STATEMENTS

**FOR THE NINE MONTHS ENDED
31ST DECEMBER 2019
(Third Quarter)**

JETWING SYMPHONY PLC

CORPORATE INFORMATION

NAME OF COMPANY	Jetwing Symphony PLC Company Number: PV/PB 13254 PQ
LEGAL FORM	Public quoted Company with Limited Liability incorporated in Sri Lanka in 2007. The ordinary shares of the Company were Listed in the Colombo Stock Exchange on 5th January 2018
BOARD OF DIRECTORS	N.J.H.M.Cooray - Chairman N.T.M.S.Cooray (Ms) K.K. Reddy (Ms) N.Wadugodapitiya Dr. V. Kannangara L.K Porter G. Rocchi Y. Fernando (Ms) S. D. Amalean
SECRETARIES	Corporate Services (Pvt) Ltd 216, De Saram Place Colombo 10. Phone : 4718200
AUDITORS	Messrs Ernst & Young Chartered Accountants 201, De Saram Place Colombo 10.
HOTEL OPERATION & MARKETING	Jetwing Hotels Ltd "Jetwing House" 46/26, Nawam Mawatha Colombo 2. Phone : 4709400 E-mail : reservations@jetwinghotels.com Web : www.jetwinghotels.com
REGISTERED OFFICE	"Jetwing House" 46/26, Nawam Mawatha Colombo 2.

JETWING SYMPHONY PLC
STATEMENT OF FINANCIAL POSITION

AS AT	GROUP		COMPANY	
	Unaudited	Audited	Unaudited	Audited
	31.12.2019 Rs.'000	31.03.2019 Rs.'000	31.12.2019 Rs.'000	31.03.2019 Rs.'000
ASSETS				
Non - Current Assets				
Property, Plant and Equipment	9,118,485	8,987,612	-	-
Prepaid Lease Rent	-	47,049	-	-
Intangible Assets	582,037	582,926	-	-
Right of Use Assets	75,408	-	-	-
Investment in Subsidiary	-	-	5,469,233	5,419,233
Other Investments	927	885	-	-
	9,776,857	9,618,472	5,469,233	5,419,233
Current Assets				
Inventories	55,785	59,499	-	-
Trade and Other Receivables	180,646	257,213	9,016	61,811
Income Tax Receivable	565	536	-	-
Other Current Financial Assets	1,614	182,310	-	5,000
Cash at Bank and in Hand	20,769	49,530	488	665
	259,379	549,088	9,504	67,476
Total Assets	10,036,236	10,167,560	5,478,737	5,486,709
EQUITY AND LIABILITIES				
Equity Attributable to equity holders of the Parent				
Stated Capital	5,509,276	5,509,276	5,509,276	5,509,276
Revaluation Reserve	934,175	934,175	-	-
Retained Earnings/ (Losses)	(1,506,275)	(1,124,390)	(32,358)	(32,552)
	4,937,176	5,319,061	5,476,918	5,476,724
Non Controlling Interest	14,191	21,434	-	-
Total Equity	4,951,367	5,340,495	5,476,918	5,476,724
Non-Current Liabilities				
Interest-bearing Loans & Borrowings	2,589,743	2,233,775	-	-
Post-Employment Benefit Liability	37,515	30,516	-	-
Deferred Tax liability	247,390	247,390	-	-
	2,874,648	2,511,681	-	-
Current Liabilities				
Current portion of Interest-bearing Loans & Borrowings	1,947,719	2,043,566	-	-
Trade and Other Payables	260,707	263,229	1,564	2,284
Income Tax Payable	1,795	8,589	255	7,701
	2,210,221	2,315,385	1,819	9,985
Total Liabilities	5,084,869	4,827,065	1,819	9,985
Total Equity and Liabilities	10,036,236	10,167,560	5,478,737	5,486,709

The Statement of Financial Position as at 31st December 2019, the Statement of Profit or Loss, the Statement of other Comprehensive Income, the Statement of Changes in Equity and Cash Flow Statement for the nine months then ended as well as the Statement of Profit or Loss and the Statement of other Comprehensive Income for the three months are drawn up from the unaudited financial statements of the Group/Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.


C.S.R.S. Anthony

Director- Jetwing Hotels Ltd, Managing Agents

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by.


N.J.H.M. Cooray

Chairman

Colombo

06th February 2020


N.T.M.S. Cooray

Director

JETWING SYMPHONY PLC
STATEMENT OF PROFIT OR LOSS - GROUP

YEAR ENDED		09 MONTHS ENDED			03 MONTHS ENDED		
		Unaudited 31.12.2019 Rs.'000	Unaudited 31.12.2018 Rs.'000	Variance Favourable/ (Unfavourable)	Unaudited 31.12.2019 Rs.'000	Unaudited 31.12.2018 Rs.'000	Variance Favourable/ (Unfavourable)
1,911,321	Revenue	1,072,181	1,303,176	-18%	396,667	484,170	-18%
(315,998)	Cost of Sales	(208,353)	(218,083)	4%	(76,006)	(79,690)	5%
1,595,323	Gross Profit	863,828	1,085,093	-20%	320,661	404,480	-21%
16,065	Other Income & Gains	2,941	11,543	-75%	332	159	109%
(73,789)	Marketing & Promotional Expenses	(44,297)	(54,218)	18%	(15,975)	(20,191)	21%
(892,426)	Administrative Expenses	(618,301)	(635,923)	3%	(216,051)	(221,059)	2%
645,173	Profit from Operations	204,171	406,495	-50%	88,967	163,389	-46%
(324,623)	Depreciation & Amortisation	(240,446)	(246,986)	3%	(80,240)	(81,161)	1%
(457,605)	Finance Expenses	(320,206)	(337,728)	5%	(98,001)	(119,991)	18%
21,460	Finance Income	6,399	14,865	-57%	1,636	8,080	-80%
(155,656)	Exchange Gain/(Loss) from Conversion of Foreign Currency Loan	(32,214)	(199,717)	84%	1,230	(98,631)	101%
(271,251)	Profit/(Loss) Before Tax	(382,296)	(363,071)	-5%	(86,408)	(128,314)	33%
(9,337)	Income Tax Expenses	(6,832)	(6,754)	-1%	(5,729)	(2,195)	-161%
(280,588)	Profit/(Loss) for the Period	(389,128)	(369,825)	-5%	(92,137)	(130,509)	29%
	Attributable to:						
(279,457)	Equity holders of the Parent	(381,885)	(365,441)		(90,326)	(128,512)	
(1,131)	Non-controlling Interest	(7,243)	(4,384)		(1,811)	(1,997)	
(280,588)		(389,128)	(369,825)		(92,137)	(130,509)	
(0.56)	Basic earnings per share for the period (Rs.)	(0.76)	(0.73)		(0.18)	(0.26)	

Notes

5,509,276 **1. Stated capital issued and fully paid**
(502,188,559 Ordinary Shares)

5,509,276 **5,509,276**

5,509,276 **5,509,276**

2. Figures in brackets indicate deductions

JETWING SYMPHONY PLC
STATEMENT OF PROFIT OR LOSS - COMPANY

YEAR ENDED		09 MONTHS ENDED			03 MONTHS ENDED		
Audited		Unaudited	Unaudited	Variance	Unaudited	Unaudited	Variance
31.03.2019		31.12.2019	31.12.2018	Favourable/	31.12.2019	31.12.2018	Favourable/
Rs.'000		Rs.'000	Rs.'000	(Unfavourable)	Rs.'000	Rs.'000	(Unfavourable)
-	Revenue	-	-		-	-	-
-	Cost of Sales	-	-		-	-	-
-	Gross Profit	-	-		-	-	-
10,727	Other Income & Gains	548	9,939	-94%	(0)	174	-100%
-	Marketing & Promotional Expenses	-	-	-	-	-	-
(6,551)	Administrative Expenses	(3,601)	(5,035)	28%	(1,386)	(1,531)	9%
4,176	Profit from Operations	(3,053)	4,904	-162%	(1,386)	(1,357)	-2%
(8)	Finance Cost	(0)	(8)	98%	(0)	-	-
19,135	Finance Income	4,510	14,355	-69%	607	7,669	-92%
23,303	Profit/(Loss) Before Tax	1,457	19,251	-92%	(779)	6,311	-112%
(8,361)	Income Tax Expenses	(1,263)	(6,801)	81%	(170)	(2,195)	92%
14,942	Profit/(Loss) for the Period	194	12,450	-98%	(949)	4,116	-123%
0.03	Basic earnings per share for the period (Rs.)	0.00	0.02		(0.002)	0.01	
Notes							
5,509,276	1. Stated capital issued and fully paid	5,509,276	5,509,276		5,509,276	5,509,276	
	(502,188,559 Ordinary Shares)						
	2. Figures in brackets indicate deductions						

JETWING SYMPHONY PLC
STATEMENT OF OTHER COMPREHENSIVE INCOME - GROUP

YEAR ENDED		09 MONTHS ENDED		03 MONTHS ENDED	
Audited		Unaudited	Unaudited	Unaudited	Unaudited
31.03.2019		31.12.2019	31.12.2018	31.12.2019	31.12.2018
Rs.'000		Rs.'000	Rs.'000	Rs.'000	Rs.'000
(280,588)	Net Profit/(Loss) for the period	(389,128)	(369,825)	(92,137)	(130,509)
	Other Comprehensive Income				
	<i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>				
-	Gain/(Loss) on Available for Sale Financial Instruments	-	10,619	-	250
10,687	Gain/(Loss) on FVTOCI Financial Instruments	548		-	-
(11,011)	Reclassification adjustments for Gains included in the Statement of Profit or Loss	(548)	(10,217)	-	(335)
	<i>Other Comprehensive Income not to be reclassified to Statement of Profit or Loss in subsequent periods :</i>				
1,051	Actuarial gain/(Loss) on Post-Employment Benefit Liabilities	-	-	-	-
260,875	Revaluation Surplus of Freehold Land	-	-	-	-
(36,522)	Deferred Tax on Revaluation Surplus	-	-	-	-
225,080	Other Comprehensive Income/(Loss) for the Period	-	402	-	(85)
(55,508)	Total Comprehensive Income/(Loss) for the Period	(389,128)	(369,423)	(92,137)	(130,594)
	Attributable to:				
(54,398)	Equity holders of the Parent Company	(381,885)	(365,039)	(90,325)	(128,597)
(1,110)	Non-controlling Interest	(7,243)	(4,384)	(1,812)	(1,997)
(55,508)		(389,128)	(369,423)	(92,137)	(130,594)

JETWING SYMPHONY PLC
STATEMENT OF OTHER COMPREHENSIVE INCOME - COMPANY

YEAR ENDED		09 MONTHS ENDED		03 MONTHS ENDED	
Audited		Unaudited	Unaudited	Unaudited	Unaudited
31.03.2019		31.12.2019	31.12.2018	31.12.2019	31.12.2018
Rs.'000		Rs.'000	Rs.'000	Rs.'000	Rs.'000
14,942	Net Profit/(Loss) for the period	194	12,450	(949)	4,116
	Other Comprehensive Income				
	<i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>				
-	Gain/(Loss) on Available for Sale Financial Instruments	-	10,116	-	286
10,409	Gain/(Loss) on FVTOCI-Financial Instruments	548	-	-	-
(10,727)	Reclassification adjustments for Gains included in the Statement of Profit or Loss	(548)	(9,939)	-	(174)
(318)	Other Comprehensive Income/(Loss) for the Period	-	177	-	112
14,624	Total Comprehensive Income/(Loss) for the Period	194	12,627	(949)	4,228

JETWING SYMPHONY PLC
STATEMENT OF CHANGES IN EQUITY - GROUP

	ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT						Non-Controlling Interest	Total Equity
	Stated Capital	Available for Sale Reserve	Fair Value Reserve	Revaluation Reserve	Retained Earnings	Total		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April 2018	5,509,276	(495)	-	709,822	(845,143)	5,373,460	22,543	5,396,003
Profit / (Loss) for the period	-	-	-	-	(365,441)	(365,441)	(4,384)	(369,825)
Other Comprehensive Income/(Loss)	-	402	-	-	-	402	-	402
Total Comprehensive Income/(Loss)	-	402	-	-	(365,441)	(365,039)	(4,384)	(369,423)
Balance as at 31st December 2018	5,509,276	(93)	-	709,822	(1,210,584)	5,008,421	18,159	5,026,580
Balance as at 1 April 2019	5,509,276	-	-	934,175	(1,124,390)	5,319,061	21,434	5,340,495
Profit / (Loss) for the Period	-	-	-	-	(381,885)	(381,885)	(7,243)	(389,128)
Other Comprehensive Income	-	-	-	-	-	-	-	-
Total Comprehensive Income	-	-	-	-	(381,885)	(381,885)	(7,243)	(389,128)
Balance as at 31st December 2019	5,509,276	-	-	934,175	(1,506,275)	4,937,176	14,191	4,951,367

Note

Comparative figures for 31st December 2018 has been prepared based on LKAS 39 in line with Statement of Alternative Treatment (SoAT) on the figures in the interim financial statements.

JETWING SYMPHONY PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY

	Stated Capital Rs.'000	Available for Sale Reserve Rs.'000	Fair Value Reserve Rs.'000	Retained Earnings Rs.'000	Total Rs.'000
Balance as at 01st April 2018	5,509,276	318	-	(47,494)	5,462,100
Profit/ (Loss) for the Period	-	-	-	12,450	12,450
Other Comprehensive Income	-	177	-	-	177
Total Comprehensive Income	-	177	-	12,450	12,627
Balance as at 31st December 2018	5,509,276	495	-	(35,044)	5,474,727
Balance as at 1 April 2019	5,509,276	-	-	(32,552)	5,476,724
Profit / (Loss) for the Period	-	-	-	194	194
Other Comprehensive Income	-	-	-	-	-
Total Comprehensive Income	-	-	-	194	194
Balance as at 31st December 2019	5,509,276	-	-	(32,358)	5,476,918

Note

Comparative figures for 31st December 2018 has been prepared based on LKAS 39 in line with Statement of Alternative Treatment (SoAT) on the figures in the interim financial statements.

JETWING SYMPHONY PLC
STATEMENT OF CASH FLOWS

FOR THE NINE MONTHS ENDED

Cash Flows from Operating Activities

	GROUP		COMPANY	
	Unaudited 31.12.2019 Rs.'000	Unaudited 31.12.2018 Rs.'000	Unaudited 31.12.2019 Rs.'000	Unaudited 31.12.2018 Rs.'000
Profit/(Loss) before Tax	(382,296)	(363,071)	1,457	19,251
Adjustments for				
Dividend Income	-	(14)	-	-
Interest Received	(6,399)	(14,865)	(4,510)	(14,355)
Depreciation & Amortization	240,446	246,986	-	-
Finance Costs	320,206	337,728	0	8
(Profit)/Loss on Disposal of Fixed Assets	3,087	(637)	-	-
Capital Gain on Sale of Investments	-	(10,217)	(548)	(9,939)
Exchange (Gain)/Loss on Foreign Currency Loan Conversion	32,214	199,717	-	-
Fair Value gain from Unrealized shares	(42)	-	-	-
Provision for Retirement Benefit Obligation	5,855	4,569	-	-
Operating Profit/(Loss) before Working Capital Changes	213,071	400,196	(3,601)	(5,035)
(Increase)/Decrease in Inventories	3,714	(11,719)	-	-
(Increase)/Decrease in Trade and Other Receivables	72,570	(36,102)	57,795	(11,215)
Increase/(Decrease) in Trade and Other Payables	(2,522)	4,851	(720)	240
Cash Generated From/(Used in) Operations	286,832	357,226	53,473	(16,010)
Income Tax Paid	(9,656)	(942)	(8,160)	(810)
Finance Cost Paid	(132,359)	(337,728)	(0)	(8)
Defined Benefit Plan Costs Paid net of transfers	1,143	(1,083)	-	-
Net Cash From/(Used in) Operating Activities	145,960	17,473	45,314	(16,828)
Cash Flows From/(Used in) Investing Activities				
Acquisition of Property, Plant and Equipment	(372,926)	(146,111)	-	-
Net Investment in fixed deposits	175,000	(200,000)	-	(200,000)
Proceeds from Sale of Property, Plant and Equipment	75	4,847	-	-
Short Term Loans (Granted)/settled	-	-	(5,000)	(20,000)
Net Investment in Unit Trust	-	314,823	-	308,600
Interest Received	6,399	14,865	4,510	14,355
Dividends Received	-	14	-	-
Investment in Subsidiaries net of cash acquired	-	-	(50,000)	(84,000)
Net Cash Flows From/(Used in) Investing Activities	(191,452)	(11,562)	(50,490)	18,955
Cash Flows From/(Used in) Financing Activities				
Proceeds from Interest bearing borrowings	320,000	-	-	-
Repayment of Interest bearing borrowings	(156,509)	(337,104)	-	-
Cost of Issue of Shares	-	(59)	-	(59)
Proceeds received from Grants	275	200	-	-
Net Cash Flows From / (Used in) Financing Activities	163,765	(336,963)	-	(59)
Net Increase/(Decrease) in Cash & Cash Equivalents	118,274	(331,052)	(5,177)	2,069
Cash and Cash Equivalents at the beginning of the period	(1,206,723)	(722,832)	5,665	782
Cash and Cash Equivalents at the end of the period	(1,088,449)	(1,053,884)	488	2,851
Cash and Bank Balance	20,769	64,081	488	2,851
Short Term Deposit	1,614	2,463	-	-
Bank Overdraft	(1,110,832)	(1,120,428)	-	-
Cash and Cash Equivalents at the end of the period	(1,088,449)	(1,053,884)	488	2,851

JETWING SYMPHONY PLC
INVESTOR INFORMATION

	31.12.2019	31.12.2018
Market Value of Shares	(Rs.)	(Rs.)
Last Traded price on	11.30	12.00
Highest price recorded for the three months ending	13.00	14.00
Lowest price recorded for the three months ending	10.50	10.20
Highest price recorded for the nine months ending	13.00	15.00
Lowest price recorded for the nine months ending	8.70	10.20
Market Capitalisation (Rs.Mn.)	5,675	6,026

Ratios

Net assets per share	9.83	9.97
	(Rs 10.59 as at 31.03.2019)	

Share trading for the Nine months ended

Number of transactions	465	324
Number of shares traded	860,490	23,037,551
Value of shares traded (Rs.)	9,189,184	267,380,282

Twenty Largest Shareholders as at 31st December 2019

Name of Shareholder	No. of Shares as at 31.12.2019	%
01. Jetwing Travels (Pvt) Ltd	93,767,471	18.67
02. R.O.K. International Holdings Ltd	90,909,091	18.10
03. Blue Oceanic Beach Hotel (Pvt) Ltd	66,214,150	13.19
04. Employees Provident Fund	35,454,545	7.06
05. Mr. N.J.H.M. Cooray	34,747,339	6.92
06. Ms. N.T.M.S. Cooray	32,866,324	6.54
07. N.J. Cooray Builders (Pvt) Ltd	29,088,096	5.79
08. Amaliya Private Limited	25,109,400	5.00
09. Mr L.Weinman	22,727,273	4.53
10. RMP Partners Ltd	11,505,676	2.29
11. Jetwing Hotels Management Services (Pvt) Ltd	5,562,059	1.11
12. St. Andrew's Hotel (Pvt) Ltd	5,100,000	1.02
13. Seylan Bank PLC. - A/C NO. 3	3,328,749	0.66
14. Mr. N.J.D.M. Cooray	3,286,997	0.65
15. Mr. N.H.V. Perera	3,186,609	0.63
16. Nilaveli Beach Hotels (Pvt) Limited	3,102,755	0.62
17. Mr. N.J.H.Cooray	2,861,439	0.57
18. Mr. N.A.H.Cooray	2,861,439	0.57
19.Mr. G.R.Cooray Arasaratnam	2,861,439	0.57
20. Capital Alliance Holdings Ltd	2,209,150	0.44
TOTAL	474,540,851	94.93

There were no non voting shares as at 31 December 2019

18.43% of the issued capital of the company was held by the public, comprising of 663 shareholders and a float adjusted market capitalisation of LKR 1,045,852,871 as at 31st December 2019. In terms of Rule 7.13.1.(b) of the listing rules of the Colombo Stock Exchange, the Company qualifies under option 1 of the minimum public holding requirement.

JETWING SYMPHONY PLC
INVESTOR INFORMATION

Directors' Shareholding

Directors	Directors' Direct Shareholding as at 31.12.2019
Mr. N.J.H.M. Cooray	34,747,339
Ms. N.T.M.S. Cooray	32,866,324
Mr. N. Wadugodapitiya	25,000
Ms. K.K. Reddy	-
Dr. V.J. Kannangara	-
Mr. L.K. Porter	-
Mr. G. Rocchi	-
Ms. T.M.J.Y.P. Fernando	-
Mr.S. D. Amalean	-

There has been no change in the Directors' direct shareholding during the 9 months ended 31 December, 2019 other than the transfer of shares held by Mrs A.M.J Cooray as a gift to:

	No of Shares
Mr N.J.H.M Cooray	13,687,028
Ms N.T.M.S Cooray	13,687,027

Note* - The Ordinary shares of the Company were listed in the Colombo Stock Exchange on 05th January 2018

1. Principal Activities and Nature of Operations

Jetwing Symphony PLC is the holding company that owns, directly and indirectly, investments in a number of companies that are involved in the business of hoteliering.

2. Basis of Preparation

The interim financial statements have been prepared in accordance with the Sri Lanka Accounting Standard (LKAS) 34- Interim financial reporting.

3. Changes in Accounting Policies

These interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31.03.2019 except for the new standard adopted as follows;

- SLFRS 16 Leases

The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for most leases under a single on-balance sheet model. The Group has adopted SLFRS 16 using modified retrospective method from 1st April 2019, without restating comparatives for the 2018/19 reporting period, as permitted under the specific transitional provisions in the standard.

The effect of adoption of SLFRS 16 as at 1 April 2019 (increase/(decrease)) is as follows:

Assets	Rs'000
Property, Plant & Equipment	(1,749)
Right of use assets	78,099
Prepaid lease rent	(47,049)
Total Assets	29,301
Liabilities	
Interest bearing loans and borrowings	29,301
Total Liabilities	

a) Nature of the effect of adoption of SLFRS 16

The Group has lease contracts for items such as lands and vehicles. Land leases are the major asset included in the right of use assets category, typically made for about 30 years of lease term and have extension options.

Leases previously classified as finance leases

For leases that were classified as finance leases under LKAS 17, the carrying amount of the right-of-use asset and the lease liability at 1 April 2019 are determined at the carrying amount of the lease asset and lease liability under LKAS 17 immediately before that date.

Leases classified as operating leases under LKAS 17

At transition, lease liabilities were measured at the present value of the remaining lease payments, discounted at the Group's incremental borrowing rate as at 1 April 2019. Right-of-use assets are measured at either:

- their carrying amount as if SLFRS 16 had been applied since the commencement date, discounted using the lessee's incremental borrowing rate at the date of initial application – the Group applied this approach to its largest property leases; or
- an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments the Group applied this approach to all other leases.

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE NINE MONTHS ENDED 31ST DECEMBER 2019

The lease liabilities as at 1 April 2019 can be reconciled to the operating lease commitments as of 31 March 2019 as follows:

	Rs '000
Operating lease commitments as at 31 March 2019	25,000
Discounted operating lease commitments as at 1 April 2019	16,719
Add:	
Payments in optional extension periods not recognised as at 31 March 2019	12,582
Lease Liabilities as at 1 April 2019	29,301

b) Summary of new accounting policies

Set out below are the new accounting policies of the Group upon adoption of SLFRS 16, which have been applied from 1st April 2019:

Right of use assets

The Group recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Amounts recognised in the statement of financial position and income statement set out below, are the carrying amounts of the Group's right of use assets and the movements for the period ended 31 December 2019.

Right of use Assets	Land (Rs '000)	Motor Vehicles (Rs '000)	Total (Rs '000)
As at 1st April 2019	76,350	1,749	78,099
Amortization expenses	1,894	-	1,894
Depreciation	-	796	796
As at 31st December 2019	74,456	953	75,408

4. Fair value measurement and related fair value disclosures

The fair values of all the financial assets and financial liabilities recognised during the period were not materially different from the transaction prices at the date of initial recognition. There were no transfers between Level 1 and Level 2 and no transfers into or out of Level 3 categories as per the fair value hierarchy, during the period.

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE NINE MONTHS ENDED 31ST DECEMBER 2019

5. There are no significant contingent liabilities as at 31st December 2019, other than the following,

Local authorities have claimed a fee amounting to 1% of turnover for the issuance of trade license for the year 2017 & 2018. The Group does not agree with such claim. The estimated contingent liability as at 31 December 2019 is Rs 19.9 Mn.

6. Information for the Nine months to 31st December, 2018 has been reclassified to conform with the current presentation where applicable.

7. There are no distinguishable components to be identified as segments for the Company.

8. No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.

9. Six months of the period under review relates to the off-season of the tourism industry in Sri Lanka.

10. Related Party Disclosures for the 9 months ended 31st December.

Details of the significant related party disclosures are as follows.

	Group		Company	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
10.1 Transactions with subsidiaries				
Amount Receivable as at 31 December	-	-	8,578	20,260
Nature of Transactions				
Investment made in Subsidiaries	-	-	50,000	84,000
Reimbursement of Expenses	-	-	77	24
Net Loans Granted/(Settled)	-	-	51,500	20,000
Interest Received	-	-	4,429	265

10.2 Transactions with Other Related Parties

Some Key Management Personnel of the Group/Company and their close members of the families, collectively have control directly or indirectly in certain entities with which the Group entered into the transactions, summarised as follows:

	Group		Company	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amount receivable as at 31 December	8,729	10,384	-	6
Amount payable as at 31 December	22,882	20,996	-	-
Nature of Transactions				
Transportation Charges	380	325	-	-
Purchases of Beverage & Others	11,320	22,622	-	-
Sale of Accommodation	24,413	29,220	-	-
Gratuity Transfer (Net)	2,325	152	-	-
Hotel Operation and Marketing Fee	49,936	72,238	-	-
Advertising Expenses and Other Reimbursements	22,430	17,644	5	6
Laundry Charges	8,016	8,528	-	-
Sale of other items	1,852	1,355	-	-
Support Services	12,727	11,644	-	-
Hotel Development Fee	5,019	-	-	-
Purchase of Assets	4	160	-	-
Vehicle Hire Income	392	372	-	-
Investor relations Expenses	-	1,056	-	1,056
Net Investment/(Redemption) in Units	-	(344,823)	-	(338,600)
Capital Gain from FVTOCI Investment	-	10,217	-	9,939

10.3 Transactions with Key Management Personnel of the Company or its parent

The key management personnel of the Company are the members of its Board of Directors.

Key Management Personnel Compensation

	Group		Company	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Executive Directors Fee	-	-	-	-
Non Executive Director's Fee	1,440	1,454	1,440	1,454

10.4 Transactions with Significant Investors

	Group		Company	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amount receivable as at 31 December	24,795	32,863	-	-
Amount payable as at 31 December	-	44	-	-
Transport Expenses	223	772	-	-
Advertising Expenses and Other Reimbursements	1,573	2,160	-	-
Sale of Accommodation	112,520	150,496	-	-
Vehicle Hire Income	14	3	-	-
Sale of other Items	815	505	-	-
Purchases of Beverage & Others	535	196	-	-
Gratuity Transfer	11	-	-	-

10.5 Loan Receivable Related party

	Company	
	2019	2018
	Rs.'000	Rs.'000
Cultural Heritage (Pvt) Ltd	-	20,260
Yala properties (Pvt) Ltd	8,578	-
	<u>8,578</u>	<u>20,260</u>

Loans were provided at the rate of AWPLR + Premium p.a

10.6 Terms and Conditions

All related party transactions have been conducted on relevant commercial terms with the respective parties. All related party outstanding balances at the reporting date are unsecured, interest free other than in the case of funding arrangements disclosed in Note 10.5 and are to be settled in cash or its equivalents.

JETWING SYMPHONY PLC

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE NINE MONTHS ENDED 31ST DECEMBER 2019

11. The Company has collected IPO funds LKR 753,282,840/- for the said objectives of the prospectus. Current status of the utilization of the said objectives are listed below:

Objective number	Objective as per Prospectus	Amount allocated as per Prospectus in (LKR Mn)	Proposed date of utilization as per Prospectus	Amount allocated in LKR Mn (A)	% of total proceeds	Amount utilized in LKR Mn (B)	% of utilized against allocation (B/A)	Clarification if not fully utilized including where the funds are invested (eg: whether lent to related party/s etc)
1	Investment in The Riverbank (Private) Limited for project completion	300	January 2018 - July 2019	300	39.8%	300	100%	
2	Investment in Pottuvil Point (Private) Limited for project completion	50	4th quarter FY18	50	6.6%	50	100%	
3	Investment in Cultural Heritage (Private Limited) for the settlement of debt	200	4th quarter FY18	200	26.6%	200	100%	
4	Investment in Jetwing Kaduruketha (Private Limited) for the settlement of debt	150	4th quarter FY18	150	19.9%	150	100%	
5	Financing future investments and working capital requirements	15	January 2018 – March 2019	15	2.0%	6	40%	Unutilized funds have been temporarily granted to wholly owned subsidiary Yala Properties (Pvt) Ltd (Jetwing Yala) at an Interest rate of AWPLR + 0.75%
6	Settlement of IPO costs	38	January 2018 – March 2018	38	5.1%	38	100%	The Company has saved LKR 14 Mn from the initial estimate for IPO costs which has been invested in The Riverbank (Pvt) Ltd.(Jetwing Kandy Gallery).
	Total	753		753		744	99%	